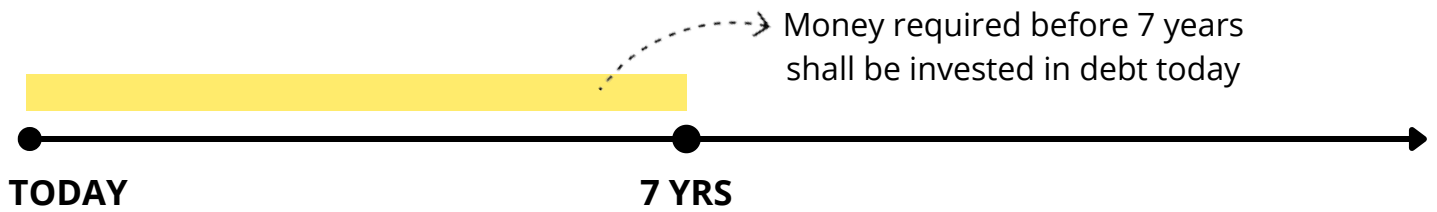


WHO IS IT SUITABLE FOR?



BASED ON TIME HORIZON

Debt funds are suitable to cater to goals that are to be met in less than 7 years from today. For, financial goals to be met in less than 2 years i.e. bucket A, should use debt investments only, whereas goals to be met in 3-7 years i.e. bucket B, you can use a mix of equity and debt. As the time horizon keeps on reducing, the share of debt in investment keeps on increasing.

BASED ON RISK

Debt is suitable for all those having a low risk-taking ability. For short-term goals, our risk-taking ability is low and hence, suitable. It can also be used for meeting long term goals if the risk-taking ability of the person is very low. However, planning for very long term goals using debt is a trap that people fall into. Debt generally comes with lower risks and therefore lower returns. The purpose of accepting a lower return using debt is to reduce the volatility of prices. But this is not required in the long term since we can bear the risk of uncertainty with the neutralization of the volatility of equity. Debt gives a comparatively steady but lower return. So, a volatile higher return is better than a steady but slow return in the long term. This is why we try and plan for long term assets using equity rather than debt.

